CASE SUBMISSION

Flipkart WIRED 6.0

Campus case challenge

Where no matter the challenge,
Your ideas synergise to maximise!

THE POWER OF 1





Manan Manwani | Radhieka Nagpal | Warren Fernandes

TEAM BUBBLE SORT
(ISB HYDERABAD)

PROBLEM ANALYSIS

The NFT Market in India is growing at a rapid pace and is expected to grow even further as brands adopt NFTs. Indian non users have apprehensions about the use cases of NFT and hesitate to explore due to complex jargon and technicalities

Major Issues for the Indian Mass Market

- **Lack of clear use-cases** in terms of real-world value
- **Barriers to technology** and understanding of NFTs
- **Doubts on legal ownership rights** to NFTs

Goal

- **Increase the number of users adopting NFTs**
- **Increase the number of brands selling NFTs on Flipkart**
- **Establish Flipkart as the biggest secure marketplace for NFTs**
- **Establish a promising revenue stream for Flipkart**

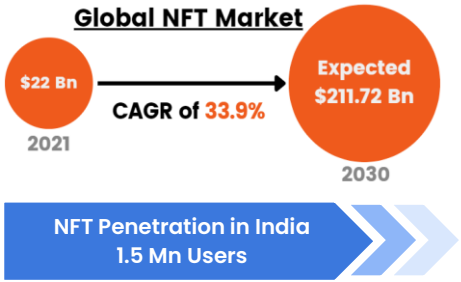
Market Segmentation

The NFT market in India is 5.02% of the global market with tremendous growth opportunities as shown below(2022):

ACTIVE INTERNET USERS
658 mN

ACTIVE E-COMMERCE PENETRATION
76.7%

ONLINE RETAIL MARKET SIZE
$73 Bn



Customer Insights**

Hypothesis 1: 45% Users prefer tradable NFT sets, redeemable for physical products

Hypothesis 2: 30% Users prefer NFTs with exclusive discounts on future purchases

*"I don't know anything about NFTs but there is a lot of craze in my friend circle. I would love to experiment with them if I find some value" - **Sagar Jain, Sales Executive***

User Persona

 Mango Man	**Age**: 30 years **City**: Rohtak **Salary**: 9L	• **Loyal user of Flipkart** • Uses E-commerce website for purchasing daily items • Has little/no knowledge about NFT's	Hesitates to learn about crypto and NFT as all articles have **technical jargons and seem too complex to understand**
 Tech Geek	**Age**: 22 years **City**: Delhi **Salary**: 12L	• Ever exploring young millennial who is always updated on the latest tech • **Passionate about NFT's,** already owns a few NFTs on other platforms	• Belongs to middle income group, struggles to meet his monthly needs • Platform agnostic, prefers the platform having **lower prices**
 Price Hunter	**Age**: 21 years **City**: Mumbai **Salary**: 6L	• Not able to derive real value out of the NFT's owned • Has **wasted money** buying NFTs at a high value	• Cannot find good discounts online on brands he/she is loyal to and orders frequently • **Lack of offers** has reduced interest in buying online

Target Segment: Based on the use cases and market sizes of the above user persona, we have prioritized Mango Man (Aam Aadmi) for our new NFT based offering

Source: https://www.businesswire.com/news/home/20220524005651/en/Global-Non-fungible-Token-NFT-Market-Report-2022-2030-Growing-Demand-for-Digital-Art-and-Growing-Use-of-Cryptocurrency-Globally-Drives-Market-Demand---ResearchAndMarkets.com

**** Survey/Poll results in Appendix**

Wired THE POWER OF 1

SOLUTIONS

Our Solutions focus on adding additional value to the NFTs apart from their token value and creating a secondary marketplace to trade NFTs

Proposed Features

Feature	What	Customer Benefit	Brand Benefits
NFT creation by brands with direct rewards	▷ Assist brands to create **NFTs offering rewards** to customers for **selective products** ▷ Post purchase claimable NFTs received in firedrops wallet within the Flipkart UI	(1) Established **authenticity** of product (2) Reward on **next purchases**	(1) NFT **Platform access** (2) **Increase user base** by rewarding customer loyalty (3) Opportunity to **push new product adoption** (4) **Diversify user base** for non-flipkart buyers
NFT-combination pack rewards	▷ Assist brands to create **NFT collections** (unique NFT groups, **tiered on value spent**) ▷ Reward collectors with a **significant Bumper prize** (limited in number)	Rewards for brand loyalty with **price benefits** exchangeable for desired rewards	
Secondary marketplace for trading of NFTs	Phase 1: NFT Marketplace for individual and NFT collections **owned through Flipkart**. Phase 2: NFT **transacting access to all** NFT owners via **NFT exchanges/flipkart coins**	Buy/sell/exchange NFT-rewards received for preferred rewards or for **arbitrage opportunities**	
Gamification	▷ **Leader boards** for top NFT collectors. ▷ **Tiered loyalty-badges** for NFT owners relative to value of NFTs owned	Flipkart rewards for top NFT owners and brand rewards for top-brand-NFT owners	

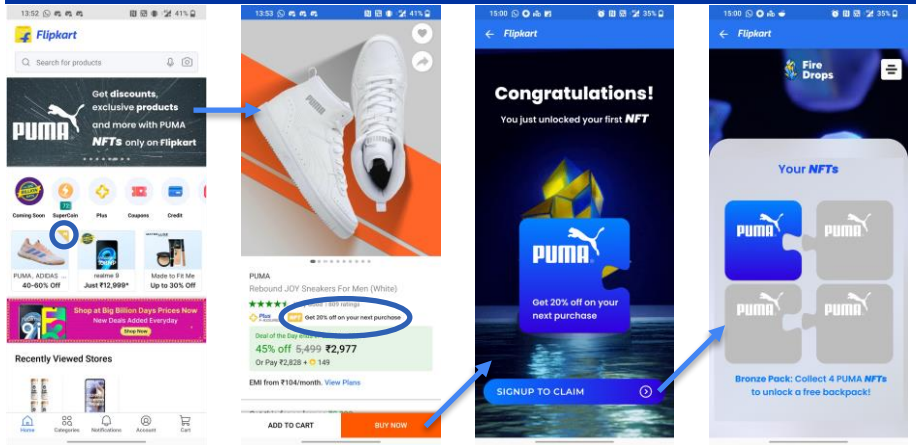
Success Metrics for v1

L0 (Focus Metric)	★ **Value (Rs.) of NFTs issued through Firedrops (NORTH STAR METRIC)**			
L1 (Feature Specific Metrics)	**Onboarding Conversion Rate**: The Number of users, who signup and claim their used NFTs	**Daily collections completed**: The number of NFT collections completed per day	**Daily offers redeemed**: The number of NFT offers/prizes redeemed per day	**Sales uplift of NFT granting products**

MVP

Launch individual and combination pack NFTs for **one** of Flipkart's highest-selling brands with offering across product types on the already available Firedrops NFT platform, integrated within the Flipkart UI

User Journey Visualised**



** Detailed user journey shown in Appendix

WAY FORWARD

Secondary Markets and Gamification can be the way forward to complete the ecosystem of NFT exchange in ecommerce. Social media, mailers, influencer partnering to be used to get the product to market and attract users to the platform

Secondary Marketplace

Exchange NFTs
A secondary marketplace for registered users will be launched to serve the need of buying/selling NFTs amongst each other for cash/wallet money

Complete Combos
Users who need NFTs to complete combo packs can purchase them from the marketplace where other users having duplicate NFTs can sell theirs

Sell Unused NFTs
Users who are purchasing with no intent of making NFT combos can sell the individual NFTs if they don't require them and get extra money

No Arbitrage
Any arbitrage in market value and utility of NFT will be automatically adjusted through perfect competition conditions created by the market

Benefits outside Flipkart
Secondary marketplace can be used to derive utility of NFT's outside of Flipkart by opening up the platform and NFT tokens to other marketplaces

Gamification

Leaderboards

Leaderboard rewards for owning max no. of NFTs/unlocking packs

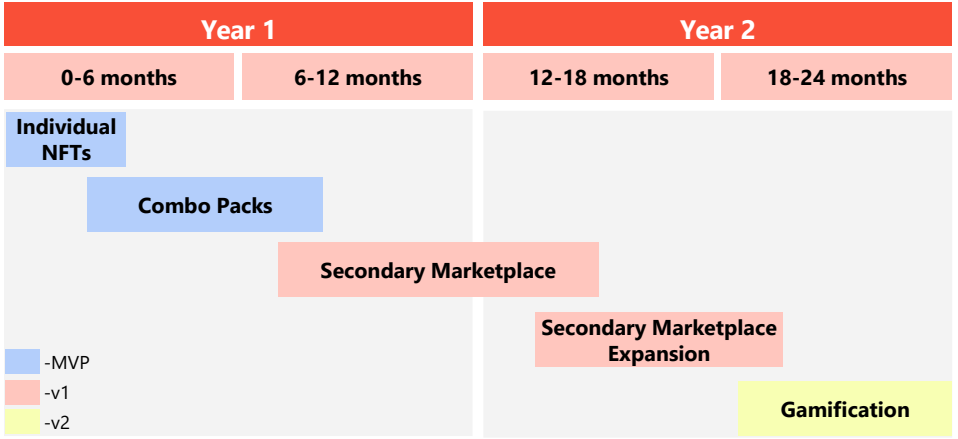
Targeted at **improving engagement** and **frequency of purchase**

Loyalty Badges

3 tiers loyalty reward system to improve platform stickiness

Rewards will be in the form of brand vouchers, cashbacks, exclusive sales etc.

Product Roadmap



GTM

Attract	Acquire	Adopt
ToF: **Awareness**	MoF: **Consideration**	BoF: **Conversion**
Run **print/digital ads** prompting users to check their app. e.g. "Bought a TV on flipkart? See what you won!". Add **promotion banner** to the homepage.	**Collaborate with influencers** to host **"NFT reveals"** simplifying the concept and building excitement.	Identify customers with past purchases products and allocate NFTs. Use **e-mail and targeted ads** to inform them. Restrict access to a **high demand, low volume release** to NFT holders.

ToF- Top of Funnel; MoF- Middle of Funnel; BoF- Bottom of Funnel

Flipkart WRED 6.0

Campus case challenge

Appendix

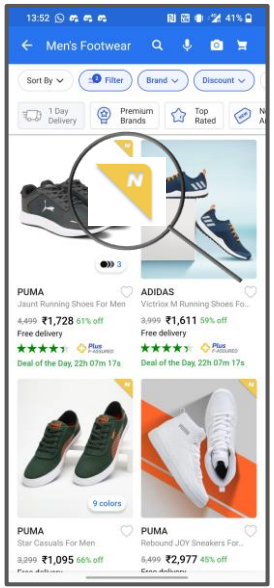
USER JOURNEY



Home



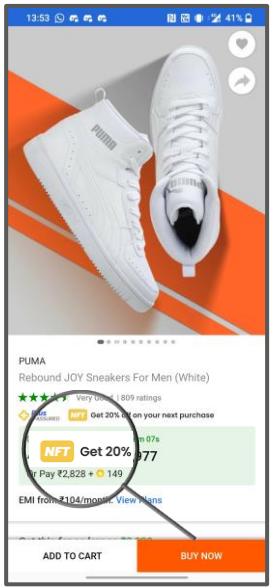
User discovers NFTs on the Flipkart homepage through banners



Product List



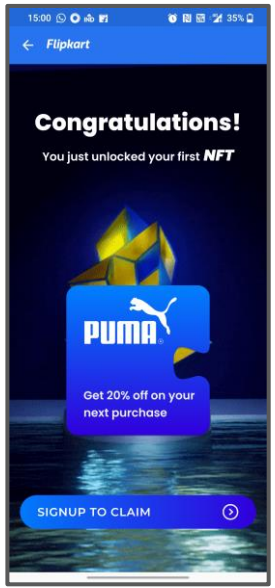
Products offering NFTs have a tag on top right corner of the listing



Product Details



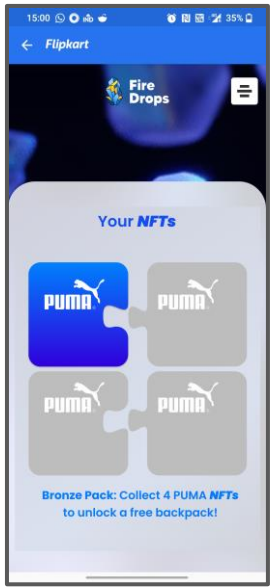
Detail about the NFT offering is mentioned on the product page



Product NFT(single)



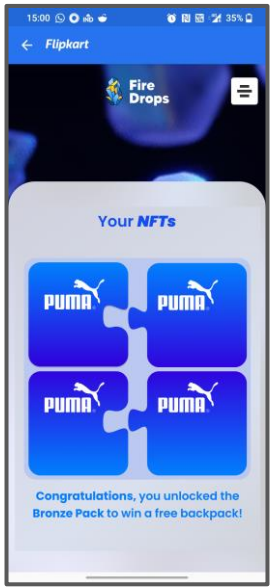
NFT unlocked when product is purchased and return window expires



Combo Pack



Combo pack information page with current progress in the combo



Combo Complete



Combo pack completion page with reward information

: Experience Discovery points for customers

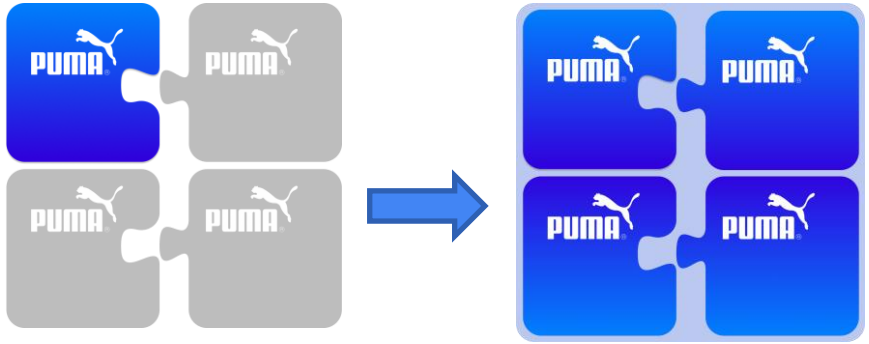
wired THE POWER OF 1

NFT REWARDS

Product NFT



Combo Pack



Type of Rewards

Extended warranty on all PUMA products purchased from Flipkart

5-10% off on selected next purchases made on Filpkart

Special access to PUMA End Of Season Sale on Flipkart

Types of Combos

BRONZE

Free Puma backpack

SILVER

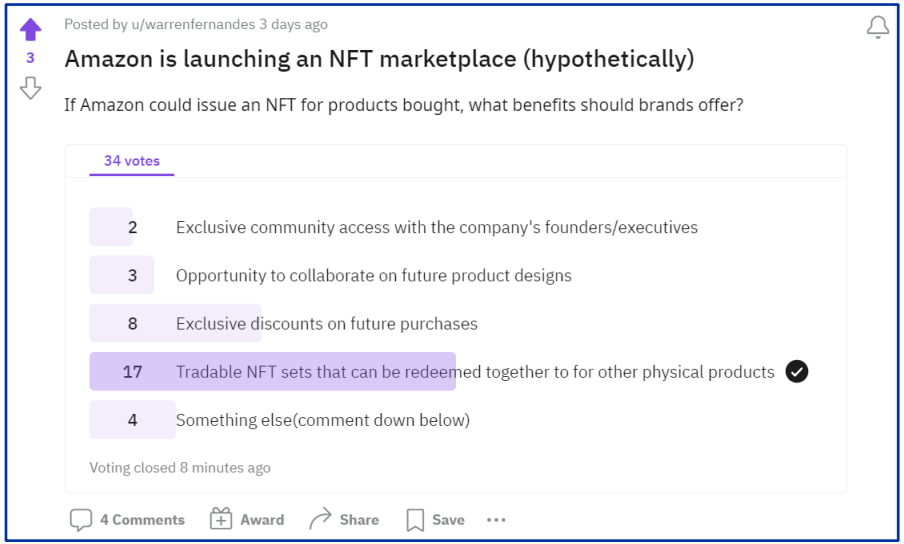
30% off on all PUMA Products

GOLD

Free PUMA shoes worth Rs. 5999/-

MARKET RESEARCH AND FINDINGS

MARKET RESEARCH → HYPOTHESIS BUILDING & TESTING → CONCLUSIONS



CONCLUSIONS

(1) The **price-sensitive** Indian online buyer will value **customer surplus** on spending money for buying products.
(2) **Rewarding** the customer for buying from a specific platform(Flipkart) can **motivate behaviour for adopting** new opportunities for value, provided they come with easy access.

Conducted initial market research analysis to understand **user-buying behavior** and understanding levels of NFTs for the **price-sensitive** customer who is not technologically adept.

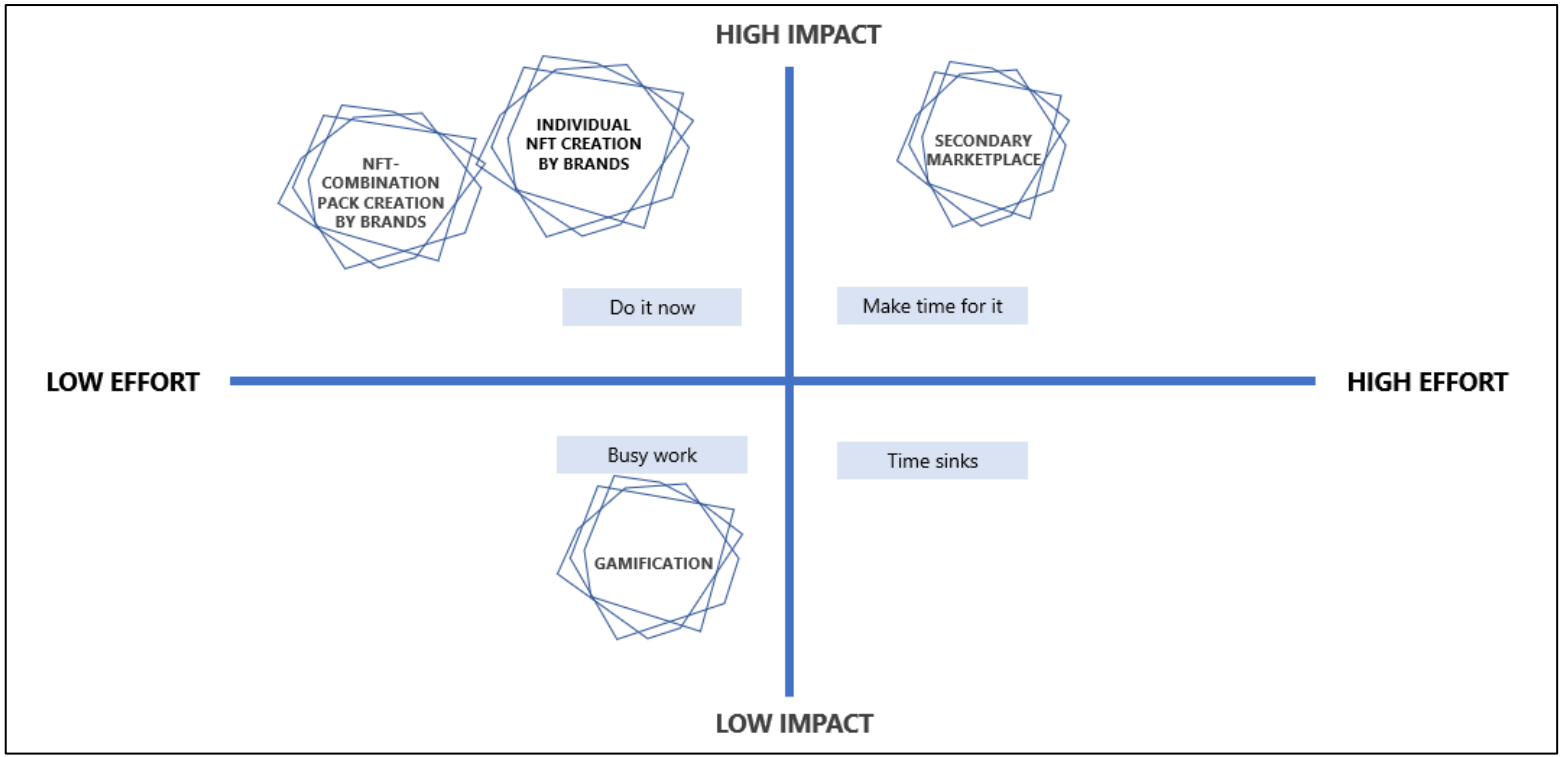
First findings: Customers are not adopting NFTs due to two major reasons:
(1) **Lack of understanding** and technological barriers
(2) **Lack of real-life utility** for NFTs owned

Building on these problems, we **hypothesized 4 broad types of utility** offerings for owning NFTs and surveyed users for the same.

Part of the **user survey** was done through Reddit, the results of which are shown here, that confirmed our initial analysis and helped form **features for the MVP**

Additional benefits sought by technologically adept buyers included NFT utilization in **metaverse**

IMPACT - EFFORT MATRIX



Flipkart

WIRED 6.0

Campus case challenge

Thank You